



Novo Nordisk (CPH : NOVO-B)
30/01/2025

Diversified Sector



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Company Overview

Company Highlights

History: Novo Nordisk was founded in 1923 in Denmark, focusing on insulin production to treat diabetes. In 1989, it merged with Nordisk Gentofte, strengthening its position in biotechnology and pharmaceuticals. Over the years, the company expanded globally, becoming a leader in diabetes care, obesity treatment, and hormone therapies. Today, it continues to innovate, with breakthrough drugs like Ozempic and Wegovy driving growth in metabolic health.

Valuation: Novo Nordisk has a market of roughly 385 billions. It reflects the company significant growth, drive by its leading position in diabetes and obesity treatments. Recent developments, such as promising trial results for a new weight-loss drug, have further boosted investor confidence.

Strategy: Novo Nordisk focuses on expanding its leadership in diabetes and obesity treatments while investing in innovative therapies for metabolic and rare diseases. The company emphasizes global market expansion, sustainability, and R&D to drive long-term growth.

Revenue Mix	%	Gross (DKK billion)
Diabetes Care	73.2%	198.1
Obesity Care	20.3%	55
Rare Disease	6.5%	17.5

Key Metrics	Unit
Gross Margin	83.6%
ROIC	68%
Debt to Equity	0.47
Cash ratio	0.36
ROA	21.47%
Pretax Margin	44%

Valuation & Share Performance

Key Valuation Statistics

Enterprise Value	2.68Tn	Revenue (FY23)	270.58bn
Market Cap	2.70Tn	EBITDA (FY23)	127.4bn
P/E	28.67x	EBITDA Margin '23	50.07%
EV/EBITDA	19.96x	Debt / EqV	0.47
Cash	74.88bn	Total Debt	56.97bn

Share Price | Current: **\$603.30** | High/Low: 526 / \$1033





Novo Nordisk Business Model

Operating Segments

- Boeing generates revenues by designing, developing, manufacturing commercial jetliners, military aircrafts, satellites, missile defense, human space flight and launch systems and services.
- It has mainly 3 operating segments:
 - Commercial Airplanes: Makes and sells commercial jet aircraft and provides fleet support services, principally to the commercial airline industry and to individuals.
 - Defense, Space & Security Systems: Engages R&D, production and modification of manned and unmanned military aircraft and weapons systems.
 - Global Services: This segment provides services to Boeing's commercial and defense customers worldwide.

Key Figures as of February 2025

(in DKK)	
Market Cap	2620.00
Profit	100.99B
CEO	Lars Fruergaard Jørgensen
Revenue	290.40B
PER	27.79x
EV/EBITDA	18.29x
EV/EBIT	22.51x
Share Price	630

Competitors

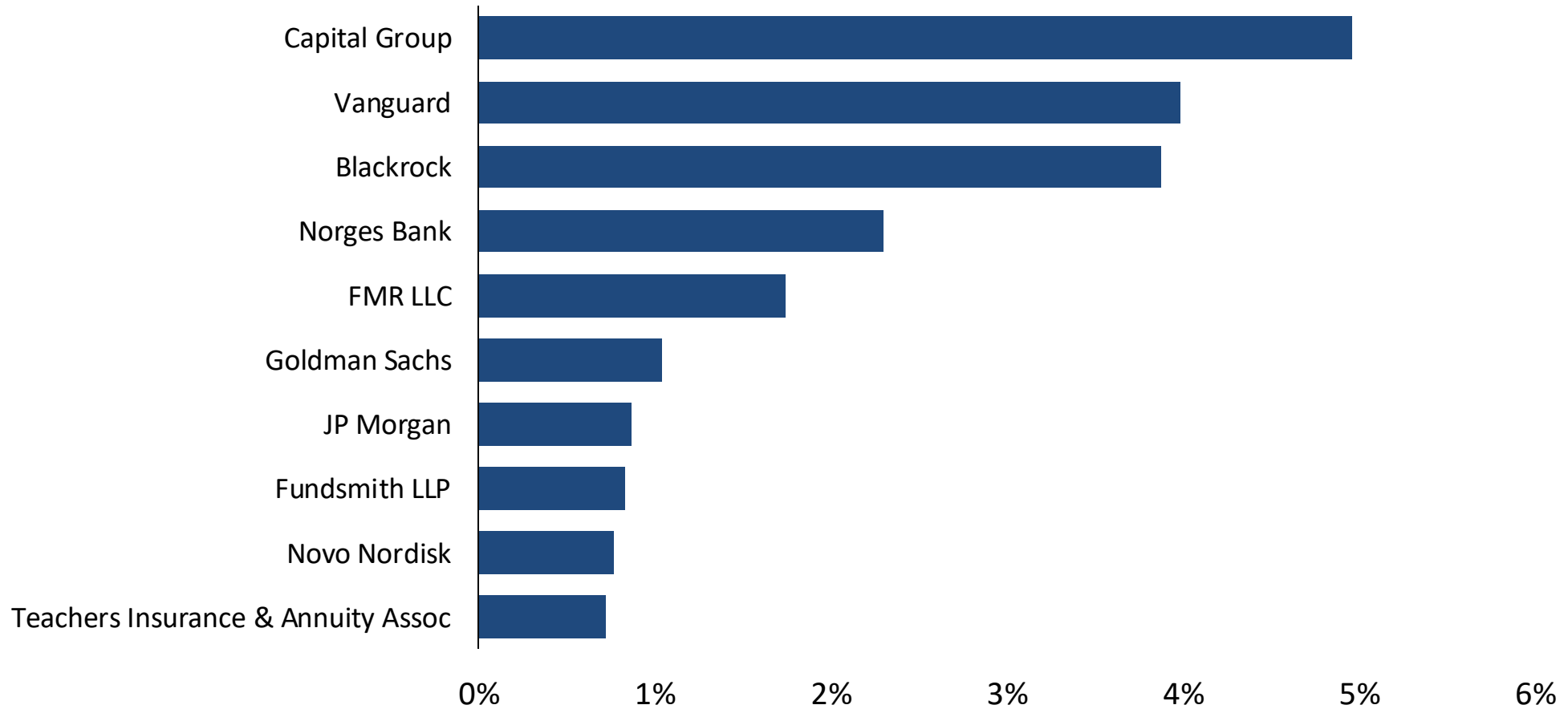




Shareholder Ownership Analysis

Ownership Analysis

Novo Nordisk Ownership analysis reveals that the capital is held by a large number of individuals, with only 70% of the capital held by institutions. The 10 largest shareholders own only 20% of Novo Nordisk's capital.





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Company	EV/ LTM Sales	EV/ LTM EBITDA	Strategy	Structure
	EV/Sales: 13.6 P/E: 28,54	EV/Revenue: 1.81 EV/EBITDA: 14.33	Competing directly with Novo Nordisk in diabetes and obesity markets. Developing and marketing Mounjaro (tirzepatide) for diabetes and Zepbound for obesity. Investing heavily in manufacturing capacity expansion. Developing an obesity pill for potential approval in 2026	• Prescription Medicines 92%, Animal Health 8%
	EV/Sales: 4,34 P/E: 17,61	EV/Revenue: 2.86 EV/EBITDA: 10,45	Entering obesity market through licensing agreement with Eccogene for ECC5004, an oral GLP-1 receptor agonist. Focusing on cardiometabolic diseases, oncology, respiratory and immunology areas. Expanding portfolio through strategic partnerships	• Specialty Care 38%, General Medicines 31%, Vaccines 17%, Consumer Healthcare 14%
	EV/Sales: 4.31 P/E: 12,89	EV/Revenue: 2,93 EV/EBITDA: 10.45	Concentrating on immunology, oncology, rare diseases, and vaccines. Strong focus on Dupixent, which achieved €9,614 million in sales for the first three quarters of 2024. Emphasis on R&D for breakthrough therapies	• Oncology 40%, CVRM 30%, Respiratory & Immunology 20%, Other 10%
	EV/Sales: 8,93 P/E: 9,58	EV/Revenue: 2,40 EV/EBITDA: 8,93	Focus on innovative medicines in core therapeutic areas. Investing in R&D for life-transforming treatments. Expanding through strategic partnerships and acquisitions.	• Gastroenterology 30%, Oncology 25%, Neuroscience 20%, Rare Diseases 15%, Plasma-Derived Therapies 7%, Vaccines 3%

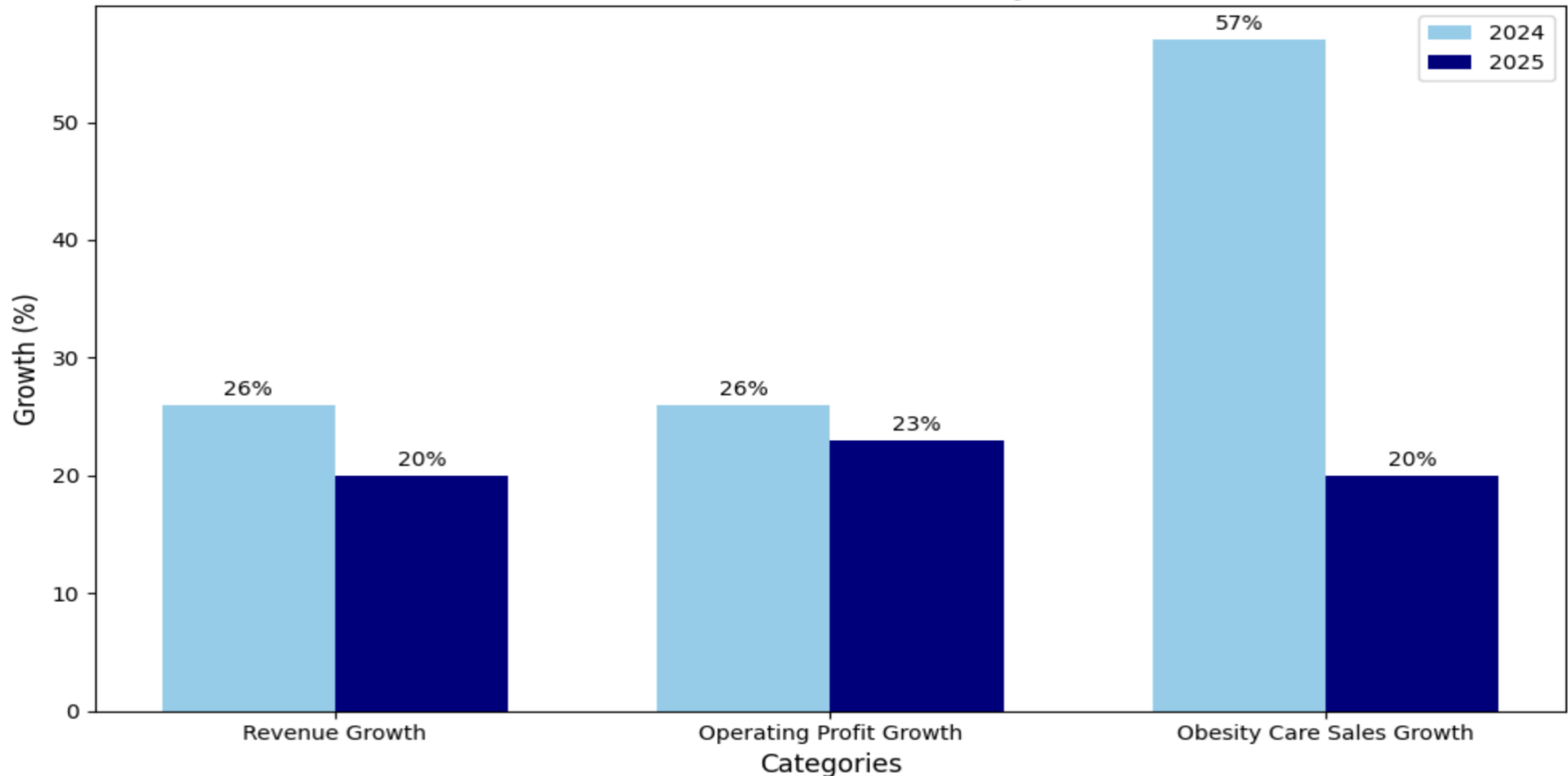


Resilience Amid Challenges: Industry Performance & Recovery

Despite economic uncertainties, Novo Nordisk demonstrates strong resilience, with +26% revenue growth and +57% obesity care sales driven by rising demand for innovative treatments.

Key Figures

Novo Nordisk Performance & Recovery (2024-2025)





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Investment Thesis

Historical performances

- Over the past five years, Novo Nordisk's stock has surged by approximately 199%, driven by the success of its GLP-1-based diabetes and obesity treatments, such as Ozempic and Wegovy. The company's strategic diversification into cardiovascular and kidney diseases further enhances its stability and growth prospects.

Diversification Strategy

- Novo Nordisk has diversified beyond diabetes and obesity treatments. In August 2023, it agreed to acquire Inversago Pharma for up to \$1 billion, enhancing its obesity pipeline. In October 2023, it announced the acquisition of ocedurenone, an experimental drug for uncontrolled hypertension, from KBP Biosciences for \$1.3 billion, marking a move into cardiovascular and kidney diseases.
- These strategic acquisitions strengthen Novo Nordisk's position in the pharmaceutical industry.

Attractive Shareholder returns

- In 2023, Novo Nordisk declared a total dividend of DKK 9.40 per share, approximately \$1.44, reflecting a 51.6% increase from the previous year. Additionally, the company initiated a share repurchase program of up to DKK 20 billion (around \$2.88 billion) to be executed over a 12-month period starting February 6, 2024.



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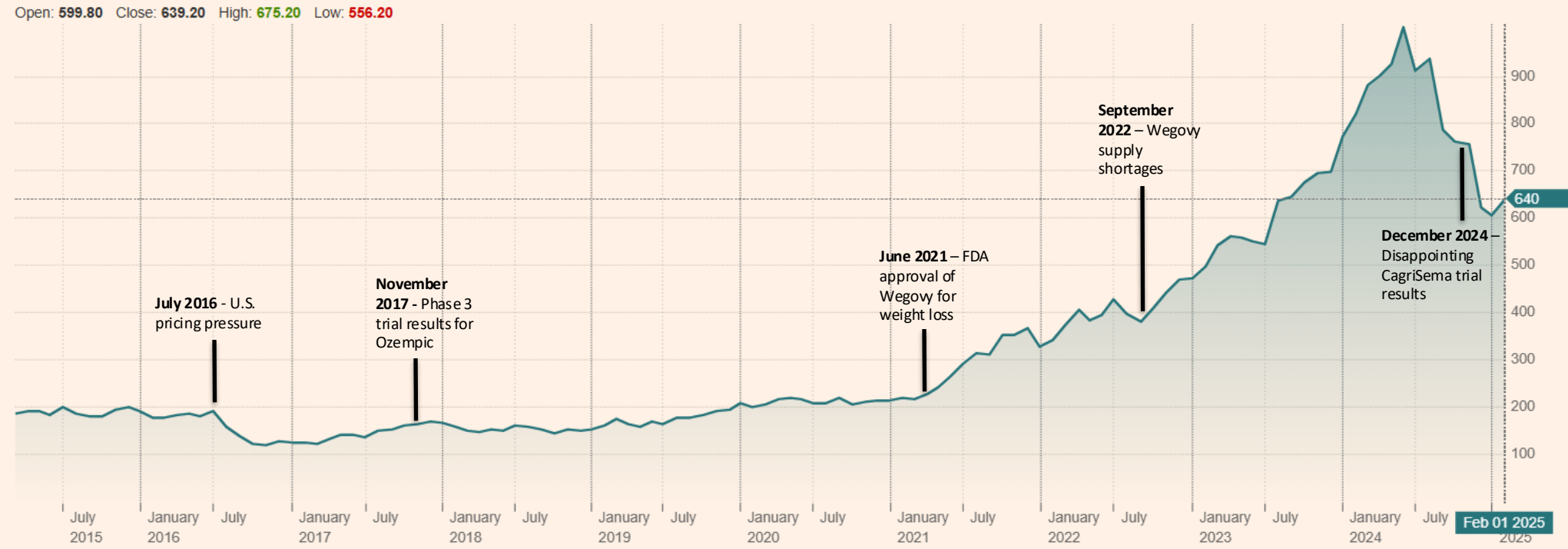
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Historical Share Price Analysis

Key Events & Share Price Drivers



- **July 2016** – U.S. pricing pressure concerns cause a sharp stock decline
- **November 2017** – Positive Phase 3 trial results for Ozempic drive a strong rally
- **June 2021** – FDA approval of Wegovy for weight loss fuels massive stock growth
- **September 2022** – Wegovy supply shortages due to overwhelming demand boost stock
- **December 2024** – Disappointing CagriSema trial results lead to a **27% stock drop**
- **February 2025** – Legal dispute over hypertension drug acquisition triggers further decline

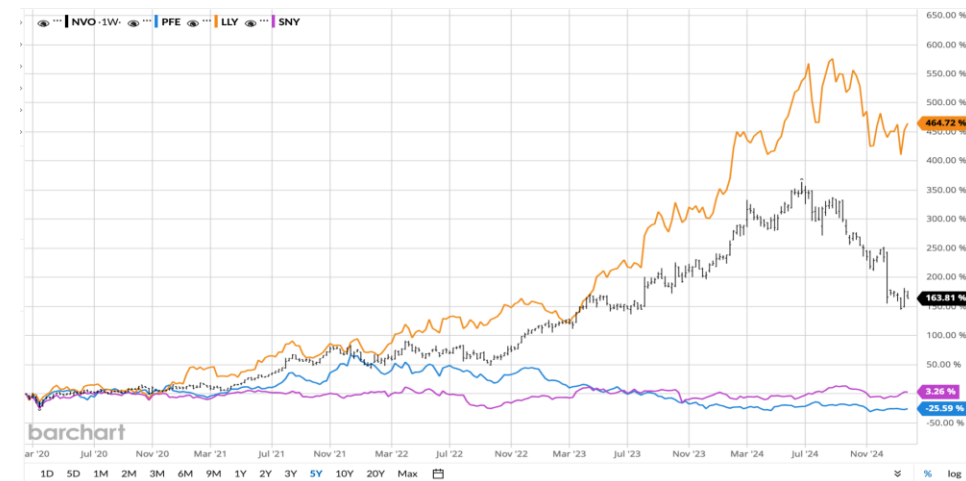


Valuation Summary

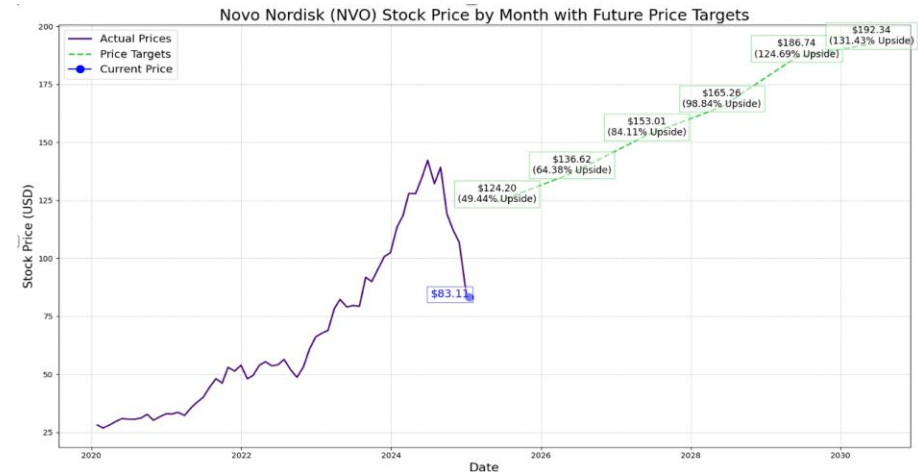
Stock Price Performance

Overperformance over the last 5 years

- 1Y:** Over the past year, Novo Nordisk's stock has declined by approximately 17.29%.
- 5Y:** Over the past five years, the stock has delivered a total return of approximately 179.6%, while Eli Lilly and Company (concurrent) did 462.45%.
- Trading at its all time high:** Since its listing, Novo Nordisk has shown substantial growth, establishing itself as a leader in diabetes and obesity treatments.
- Market sentiment:** Novo Nordisk (NVO) has achieved an average annual return of 13.38% over the past decade. Recent bullish options activity indicates positive market sentiment. A recent 5.35% stock decline may offer a strategic entry point for investors. Monitoring upcoming earnings and regulatory developments is advisable. Overall, Novo Nordisk's strong historical performance and current market sentiment make it a stock to watch.



Stock Prediction



Broker Estimates	Target Prices (\$)	Upside (%)	Rating
Jyske Bank (18/02/2025)	925	+58%	Buy
DBS Bank (18/02/2025)	455	(24%)	Sell
BMO Capital Markets (14/02/2025)	759	+29%	Buy
Redburn Atlantic (12/02/2025)	590	+0.5%	Hold
Barclays (12/02/2025)	900	+53%	Buy



Comparables Analysis

Comparable Company Rationale

(in million DKK)		Stock Price	Equity Value	Enterprise Value	EV/EBITDA			Price/Earnings Ratio				
Company	Symbol				2023 LTM	NTM	2026	2023 LTM	NTM	2026		
Astrazeneca		1061.00	1650.00	1820.00	15.38	13.29	12.55	11.39	64.02	32.77	16.51	14.66
Sanofi		773.00	976.78	1040.00	9.72	11.97	9.64	8.84	16.74	24.61	12.75	11.54
Novartis		759.00	1660.00	1790.00	13.58	11.22	11.59	11.21	32.82	18.02	12.73	12.31
GSK		130.00	538.66	651.00	7.3	6.5	6.47	6.95	12.14	22.83	8.77	7.73
Bayer		161.03	158.20	419.00	5.29	3.86	5.43	5.9	9.84		4.33	4.68
Lily		6211.18	58900.00	6100.00	33.4	45.22	31.91	25.84	40.2	56.86	38.02	30.22
Novo Nordisk		587.00	2620.00	2700.00	23.63	18.29	15.4	12.95	31	25.89	21.38	17.29
High			58900.00	6100.00	33.4	45.22	31.91	25.84	64.02	56.86	38.02	30.22
Median			1650.00	1790.00	13.58	11.97	11.59	11.21	31	25.25	12.75	12.31
Mean			9500.52	2074.29	15.47	15.76	13.28	11.87	29.54	30.16	16.36	14.06
Low			158.20	419.00	5.29	3.86	5.43	5.9	9.84	18.02	4.33	4.68



DCF Model Output

Valuation Summary

Terminal Value - Multiples Method

Implied Share Price from DCF. DKK	828
Premium to Current Share Price	31%

Terminal Value – Perpetuity Growth Method

Implied Share Price from DCF	800 DKK
Premium to Current Share Price	26.98%

WACC Assumptions

WACC 8.00%	Cost of Equity 8.2%	Cost of Debt 4.5%	Risk Free Rate 4.43%	Equity Risk Premia 3.78%
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Sensitivity Analysis

		Multiple Exit				
WACC	(in DKK)	15.5x	16x	16.5x	17x	17.5x
	7.50%	772	825	873	922	972
	7.75%	751	800	850	897	929
	8%	723	775	828	870	902
	8.25%	700	750	806	848	878
	8.50%	680	724	783	820	852

		Terminal Growth Rate				
WACC	(in DKK)	1.00%	1.50%	2%	2.50%	3.00%
	7.50%	750	812	875	950	1006
	7.75%	718	782	840	900	956
	8%	688	740	800	857	911
	8.25%	661	702	745	802	861
	8.50%	622	658	690	760	812



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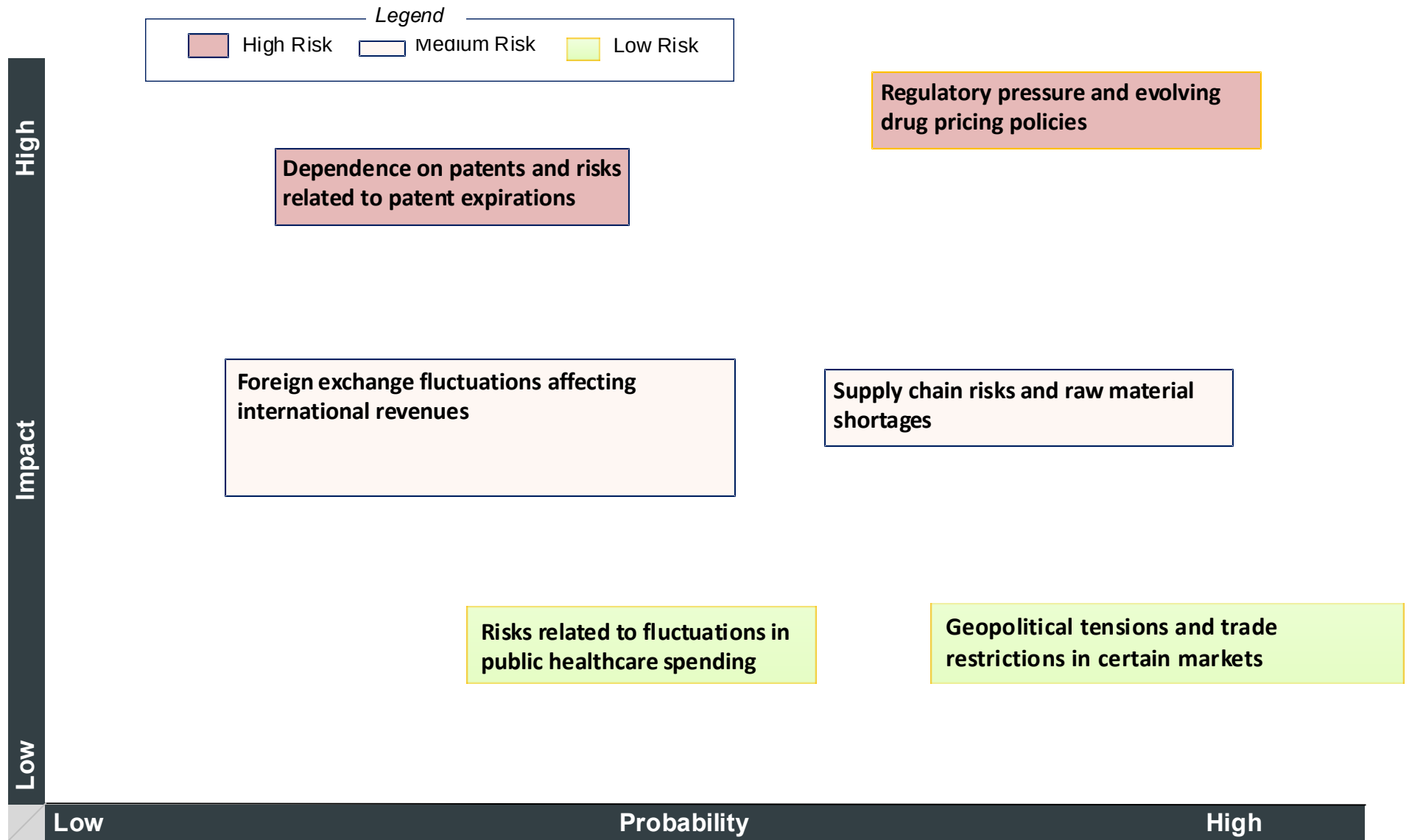
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Risk Considerations





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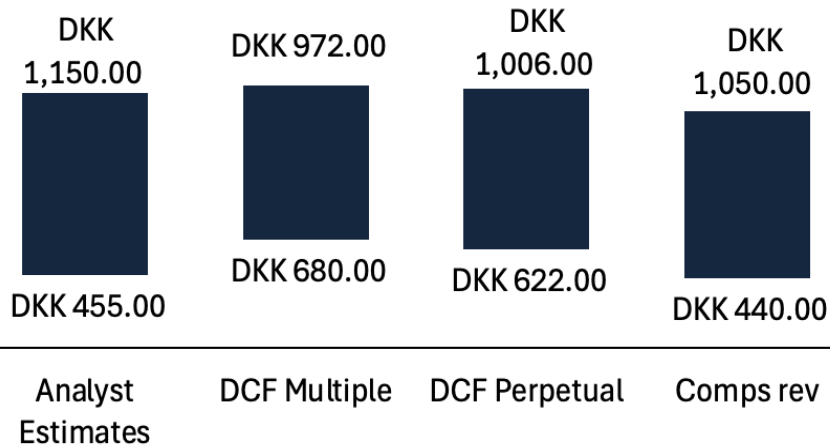
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Price Target & Recommendation

Price Target

Valuation Summary		
Analysis	Price	Weight
Comparables	745	30%
Perpetuity DCF	800	30%
Multiple DCF	828	30%
Street	802	10%
Target Price	792	100%



Recommendation :

The stock is thus a :

Buy

It should be bought below 700 DKK to limit risk and ensure a 10% return

